Topic 2: Introduction to management control

Session 3

Introduction to Management Control

1. Management control concepts
2. Behavior in organizations
3. Accountants' role in the organization and professional ethics

Management Control Concepts

Management Control concepts

- Financial accounting focuses on reporting financial information to external parties such as investors, government agencies, banks, and suppliers based on Generally Accepted Accounting Principles (GAAP).

- Management accounting is the process of measuring, analyzing, and reporting financial and nonfinancial information that helps managers make decisions to fulfill the goals of an organization.

- Cost accounting provides information for both management accounting and financial accounting professionals. Cost accounting is the process of measuring, analyzing, and reporting financial and nonfinancial information related to the costs of acquiring or using resources in an organization.

Management Control concepts

Management control = managerial accounting:

- "The process of obtaining, creating, and analyzing relevant information to help achieve organizational goals".

- "The process by which managers influence other organizational members to implement organizational strategies" (Anthony and Govindarajan, 2007).

Financial Accounting vs Management C ontrol

- ✓Internal and external users
- ✓General, aggregated financial statements
- ✓Reporting of the past, historical
- ✓Guided by principles, standards, and rules (GAAP, IFRS)

- ✓Internal users
- ✓Detailed, specialized for a specific decision, setting, etc.
- ✓Designed for future decisions
- ✓Case-specific; best practices

Cost Accounting vs Management Control

- ✓Uses financial and non-financial information related to costs
- ✓Can be used in financial accounting and in management control
  E.g., R&D for launching new product

- ✓Uses financial and non-financial information to help management make better decisions
- ✓Information usually presented in the form of budgets

BS: 1Q24 results presentation: key

Management or Financial accounting?

Key consolidated data

BALANCE SHEET (EUR million)	Mar-24	Dec-23	%	Mar-23	%	Dec-23
Total assets	1,800,006	1,797,062	0.2	1,749,402	2.9	1,797,062
Loans and advances to customers	1,049,533	1,036,349	1.3	1,041,388	0.8	1,036,349
Customer deposits	1,044,453	1,047,169	(0.3)	998,949	4.6	1,047,169
Total funds	1,315,779	1,306,942	0.7	1,237,015	6.4	1,306,942
Total equity	105,025	104,241	0.8	99,490	5.6	104,241

Note: total funds includes customer deposits, mutual funds, pension funds and managed portfolios.

INCOME STATEMENT (EUR million)	Q1'24	Q4'23	%	Q1'23	%	2023
Net interest income	11,983	11,122	7.7	10,396	15.3	43,261
Total income	15,045	14,552	3.4	13,922	8.1	57,423
Net operating income	8,498	8,088	5.1	7,777	9.3	31,998
Profit before tax	4,583	3,922	16.9	3,832	19.6	16,459
Profit attributable to the parent	2,852	2,933	(2.8)	2,571	10.9	11,076

Changes in constant euros:

Q1'24 / Q4'23: NII: +7.7%; Total income: +3.4%; Net operating income: +5.2%; Profit before tax: +17.1%; Attributable profit: -2.7%.

Q1'24 / Q1'23: NII: +13.2%; Total income: +6.3%; Net operating income: +7.2%; Profit before tax: +17.5%; Attributable profit: +8.8%.

BS: 1Q24 results presentation: key

Management or Financial accounting?

MARKET CAPITALIZATION AND SHARES	Mar-24	Dec-23	%	Mar-23	%	Dec-23
Shares (millions)	15,826	16,184	(2.2)	16,454	(3.8)	16,184
Share price (euros)	4.522	3.780	19.6	3.426	32.0	3.780
Market capitalization (EUR million)	71,555	61,168	17.0	56,371	26.9	61,168
Tangible book value per share (euros)	4.86	4.76		4.41		4.76
Price / Tangible book value per share (X)	0.93	0.79		0.78		0.79

CUSTOMERS (thousands)	Q1'24	Q4'23	%	Q1'23	%	2023
Total customers	165,752	164,542	0.7	161,155	2.9	164,542
Active customers	100,092	99,503	0.6	99,262	0.8	99,503
Digital customers	55,305	54,161	2.1	51,919	6.5	54,161

OTHER DATA	Mar-24	Dec-23	%	Mar-23	%	Dec-23
Number of shareholders	3,584,294	3,662,377	(2.1)	3,881,758	(7.7)	3,662,377
Number of employees	211,141	212,764	(0.8)	210,168	0.5	212,764
Number of branches	8,405	8,518	(1.3)	8,993	(6.5)	8,518

BS: 1Q24 results presentation – P&L

Grupo Santander results

Grupo Santander. Summarized income statement

EUR million

	Q1'24	Q4'23	Change %	Change % excl. FX	Q1'23	Change %	Change % excl. FX
Net interest income	11,983	11,122	7.7	7.7	10,396	15.3	13.2
Net fee income[1]	3,240	2,835	14.3	14.4	3,043	6.5	4.8
Gains or losses on financial assets and liabilities and exchange differences[2]	623	664	(6.2)	(6.0)	715	(12.9)	(12.6)
Dividend income	93	97	(4.1)	(4.3)	63	47.6	46.8
Share of results of entities accounted for using the equity method	123	151	(18.5)	(18.3)	126	(2.4)	(3.9)
Other operating income/expenses[3] (net)	(1,017)	(317)	220.8	219.0	(421)	141.6	136.6
Total income	15,045	14,552	3.4	3.4	13,922	8.1	6.3
Operating expenses	(6,547)	(6,464)	1.3	1.3	(6,145)	6.5	5.2
Administrative expenses	(5,719)	(5,685)	0.6	0.6	(5,356)	6.8	5.4
Staff costs	*(3,594)*	*(3,646)*	*(1.4)*	*(1.5)*	*(3,245)*	*10.8*	*9.4*
Other general administrative expenses	*(2,125)*	*(2,039)*	*4.2*	*4.3*	*(2,111)*	*0.7*	*(0.7)*
Depreciation and amortization	(828)	(779)	6.3	6.4	(789)	4.9	3.9
Provisions or reversal of provisions	(633)	(689)	(8.1)	(8.3)	(642)	(1.4)	(3.8)
Impairment or reversal of impairment of financial assets not measured at fair value through profit or loss (net)	(3,134)	(3,479)	(9.9)	(9.8)	(3,301)	(5.1)	(7.0)
Impairment on other assets (net)	(129)	(108)	19.4	18.9	(22)	486.4	484.5
Gains or losses on non-financial assets and investments, net	2	33	(93.9)	(94.6)	26	(92.3)	(93.3)
Negative goodwill recognized in results	0	39	—	—	0	—	—
Gains or losses on non-current assets held for sale not classified as discontinued operations	(21)	38	—	—	(6)	250.0	209.6
Profit or loss before tax from continuing operations	4,583	3,922	16.9	17.1	3,832	19.6	17.5
Tax expense or income from continuing operations	(1,468)	(724)	102.8	102.9	(967)	51.8	49.0
Profit from the period from continuing operations	3,115	3,198	(2.6)	(2.3)	2,865	8.7	6.9
Profit or loss after tax from discontinued operations	—	—	—	—	—	—	—
Profit for the period	3,115	3,198	(2.6)	(2.3)	2,865	8.7	6.9
Profit attributable to non-controlling interests	(263)	(265)	(0.8)	1.4	(294)	(10.5)	(10.7)
Profit attributable to the parent	2,852	2,933	(2.8)	(2.7)	2,571	10.9	8.8
EPS (euros)	0.17	0.18	(2.7)		0.15	13.7	
Diluted EPS (euros)	0.17	0.17	(2.6)		0.15	13.6	
Memorandum items:							
Average total assets	1,804,334	1,799,535	0.3		1,742,316	3.6	
Average stockholders' equity	96,308	94,877	1.5		90,353	6.6	

BS: 1Q24 results presentation - Targets

ONE Transformation driving double-digit growth in value creation

		2022	2023	Q1'24	2025 targets
Profitability	RoTE (%)	13.4	15.1	14.9	15-17
	Payout (Cash + SBB)[1] (%)	40	50	50	50
	EPS Growth (%)	23	21.5	13.7	Double-digit
Customer centric	Total customers (mn)	160	165	166	c.200
	Active customers (mn)[2]	99	100	100	c.125
Simplification & automation	Efficiency ratio (%)	45.8	44.1	42.6	c.42
Customer activity	Transactions volume per active customer (month, % growth)[3]	-	10	11	c.+8
Capital	FL CET1 (%)	12.0	12.3	12.3	>12
	RWA with RoRWA > CoE (%)	80	84	83	c.85
ESG[4]	Green financed raised & facilitated (€bn)	94.5	114.6	118.5	120
	Socially responsible Investments (AuM) (€bn)	53	67.7	72.8	100
	Financial inclusion (# People, mn)	-	1.8	2.3	5
	Women in leadership positions (%)	c.29	31.4	31.4	35
	Equal pay gap (%)	c.1	c.0	-	c.0
TNAVps+DPS (Growth YoY)		+6%	+15%	+14%	Double-digit growth average through-the-cycle

Some elements of Management Control

- ✓Cost-profit approach of actions
- ✓Organizational structure and responsibilities
- ✓Develop objectives specific to subunits
- ✓Budgets
- ✓Communicate information
- ✓Evaluate information and performance
- ✓Behavioral considerations
- ✓Controller reports usually to the CFO

Strategy & Management Control

- In rapidly changing environments, management control may set the pace for new strategies.
- Strategy: goal setting (unsystematic, few people involved).
- Management control: implementing strategies (more systematic, involves more workers). Controllers provide information on costs, productivity, efficiency, returns...

Support to design the corporate strategy

A company's strategy specifies how the organization matches its own capabilities with the opportunities in the marketplace. In other words, strategy describes how an organization creates value for its customers while distinguishing itself from its competitors.

Management accountants work closely with managers to formulate strategies by providing information about the sources of competitive advantage, such as:

(1) the company's cost, productivity, or efficiency advantage relative to competitors
(2) the premium prices a company can charge over its costs from distinctive product or service features

Support to the Strategy implementation

Management accounting information helps managers formulate strategy by answering questions like:

- ✓ Who are our most important customers, and what critical capability do we have to be competitive and deliver value to our customers? (Pharmaceuticals)
- ✓ What is the bargaining power of our customers and suppliers?(Kellogg, Coke, Big 4)
- ✓ What substitute products exist in the marketplace, and how do they differ from our product in terms of features, price, cost, and quality? (HP, Dell, Lenovo)
- ✓ Will adequate cash be available to fund the strategy, or will additional funds need to be raised? (M&A)

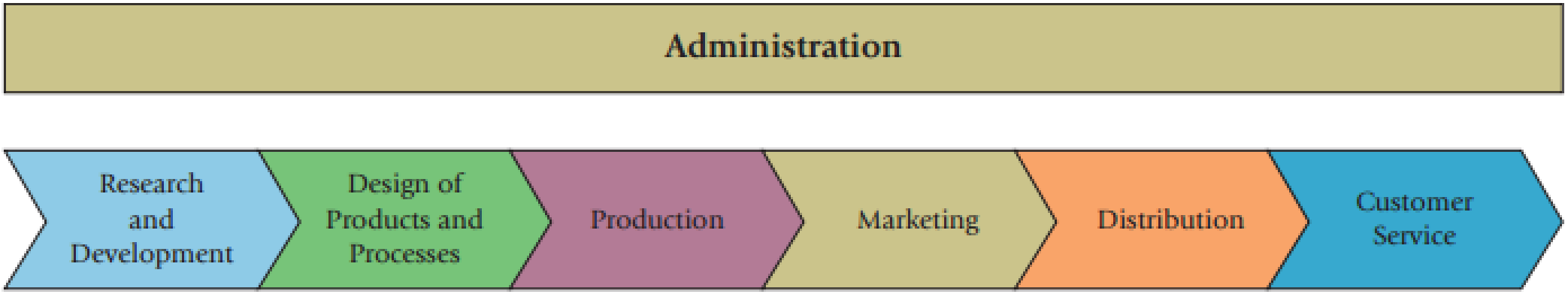
Key Success Factors

- ✓ Cost & efficiency: target cost and price
- ✓ Quality: products and processes. The cost of low quality
- ✓ Time: the cost of being late
- ✓ Innovation: the cost of obsolescence
- ✓ Sustainability: as a must

Sustainability



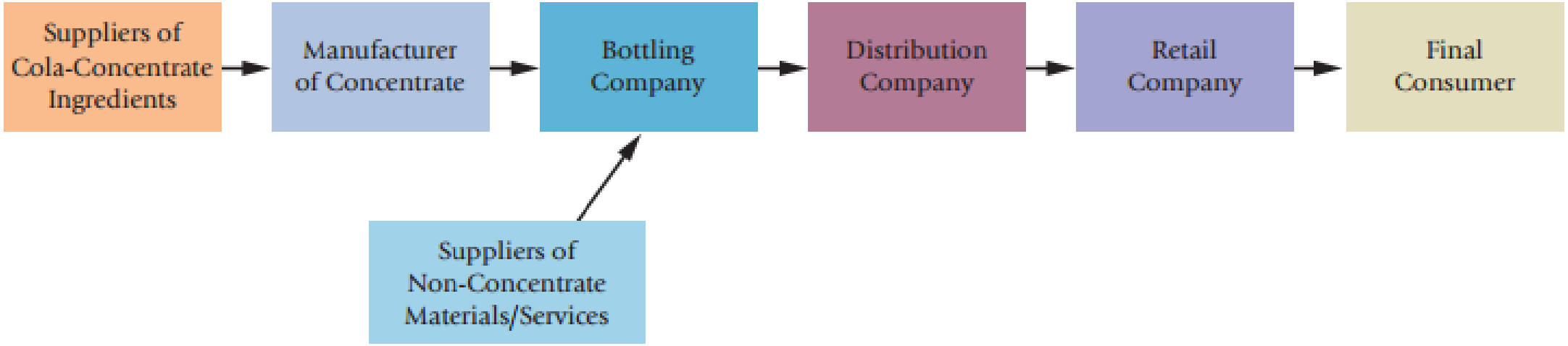
The Value Chain



Administration: support functions (accounting &finance, HR, IT…)

Managers track costs incurred in each value-chain category. Their goal is to reduce costs to improve efficiency or to spend more money to generate even greater revenues. Management accounting information helps managers make cost–benefit tradeoffs.

The Supply Chain (ex. of a Cola bottling co.)



The supply chain describes the flow of goods, services, and information from the initial sources of materials and services to the delivery of products to consumers, regardless of whether those activities occur in one organization or in multiple organizations.

Key management accounting guidelines

1) Cost-benefit approach: expected benefits > exp. Costs

2) Behavioral and technical considerations: budgets have a behavorial effect.

3) Different costs for different purposes: costs associated to external reporting are worthless for internal purposes (i.e. roadshows)

Cost-Profit approach

Revenues – total variable costs – total fixed costs = Operating profit
Selling Price * Q – (VC per unit * Q) – total FC = Profit

E.g. Company manufactures a microchip

Price = $ 10.15
Direct labor/unit = $ 2
Direct material/unit = $ 1.3
Variable overhead/unit = $ 4.4
Fixed overhead costs for the microchips = $ 450.000

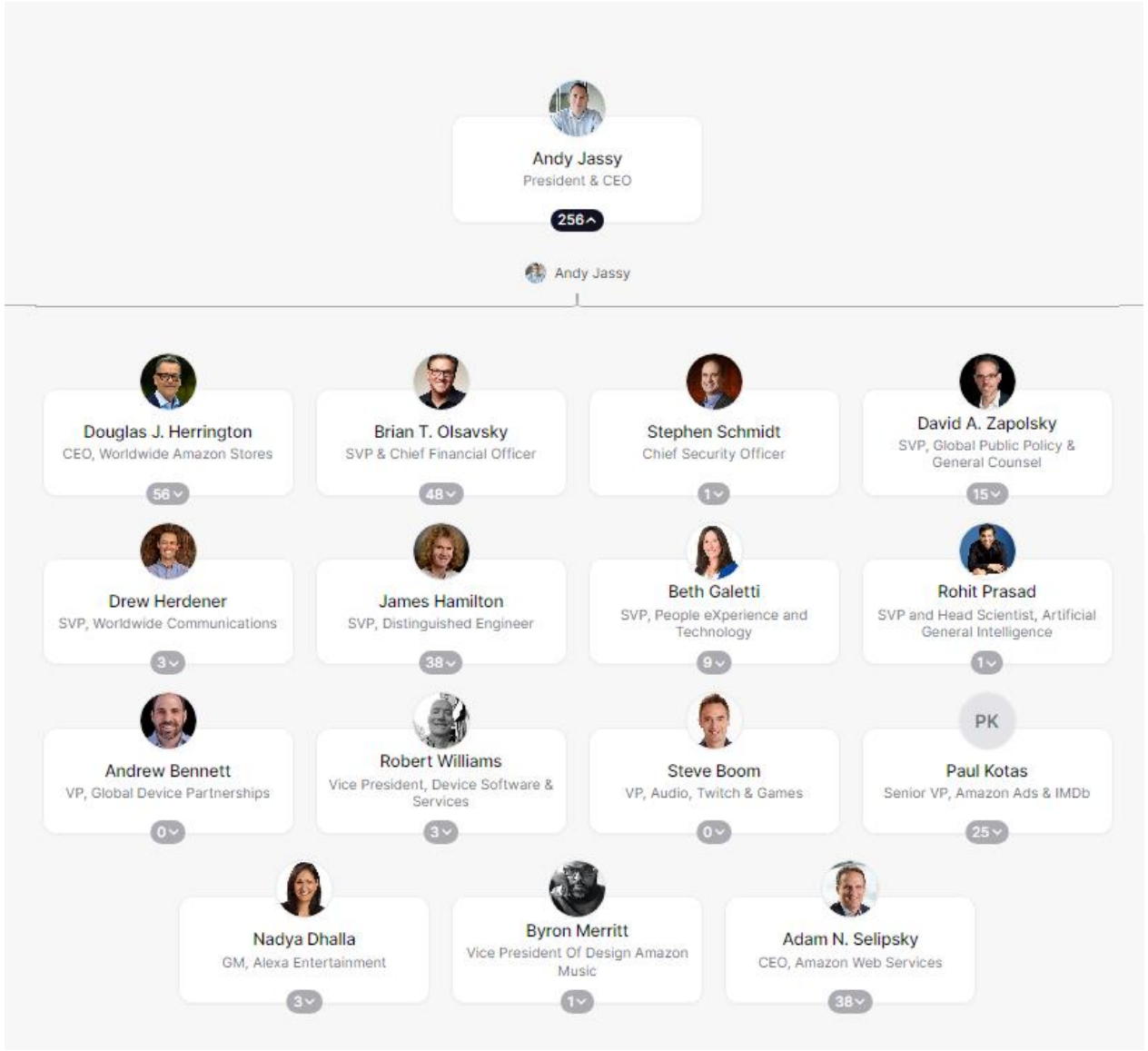
How many microchips do we need to sell to break even?

Cost-Profit approach

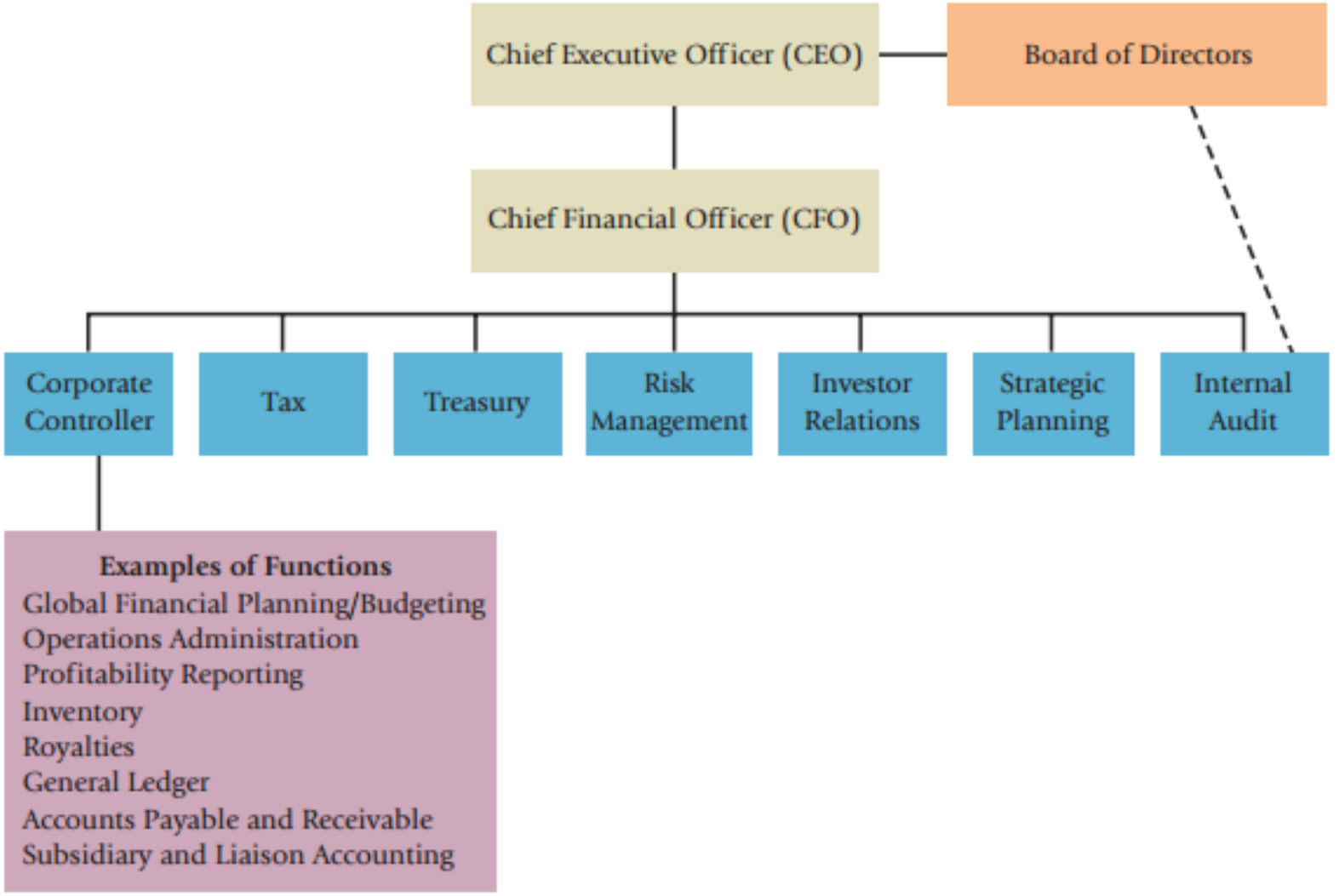
SP*Q – (VC*Q) – FC = 0
10.15 Q – 7.7 Q – 450,000 = 0

Q = 450,000 / 2.45 = 183,674 microchips

Organization chart



CFO and Controller



The 3 Lines of Defense

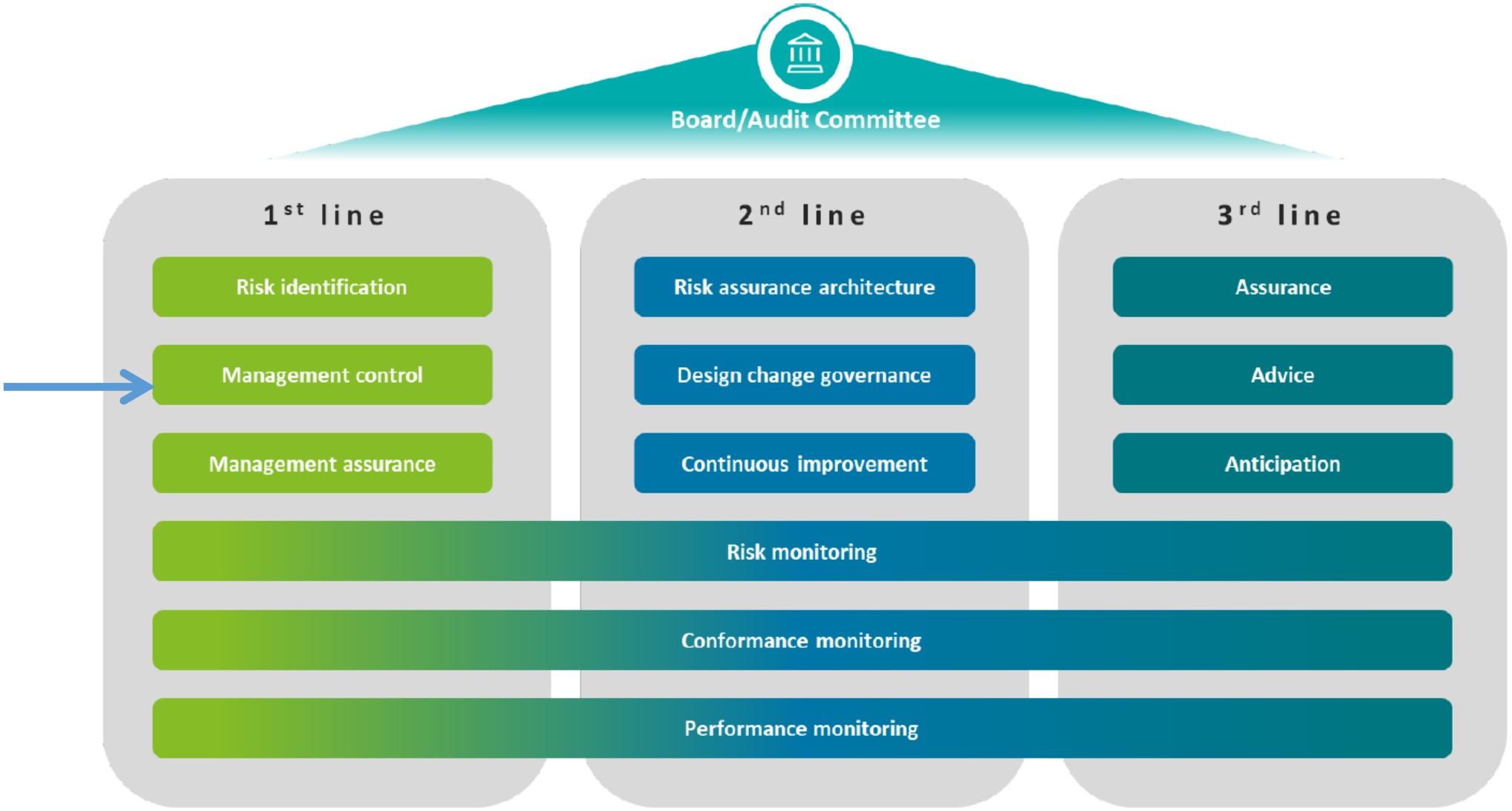
The three lines of defense is a risk governance framework that splits responsibility for operational risk management across three functions:

1) Individuals in the first line own and manage risk directly. BUSINESS & OPERATIONS

2) The second line oversees the first line, setting policies, defining risk tolerances, and ensuring they are met. RISK CONTROL

3) The third line, consisting of internal audit, provides independent assurance of the first two lines. AUDIT

The 3 Lines of Defense



Behavior in organizations

Behavior in organizations

Goal congruency: individual goals match organizational goals

- Informal factors that influence behavior in organizations:
  - Local work ethics
  - Organizational culture
  - Management attitudes
  - The informal organization
  - Perception and communication
  - Individual norms

Goal congruency: formal factors

- Rules
- Physical controls
- Handbooks
- Safeguarding systems
- Boundary systems
- Formal control process: strategic plans → elaborates budget → measures the performance of the responsibility centers → compares real and planned values → measures if performance was satisfactory

Rewards, …

- Rewards on performance:
  - ✓ Intrinsic
  - ✓ Extrinsic
- Motivate
- Respect opinions
- Communicate clearly

"It took me a long while to learn that people do what you pay them to do, not what you ask them to do" (Hicks Waldron, ex Avon CEO – Cascio & Cappelli, 2009)

Takeaways

Management accountants MUST:

- Work well in cross-functional teams and as a business partner.
- Promote fact-based analysis and make tough-minded, critical judgements without being adversarial.
- Lead and motivate people to change and be innovative.
- Communicate clearly, openly, and candidly.
- Have high integrity. Management accountants must never succumb to pressure from managers to manipulate financial information.

Accountants role & professional ethics

Accountants role / professional ethics

FUNCTIONS OF THE CONTROLLER (CFO or under the CFO)

- ✓ Design and operate the information and control systems
- ✓ Prepare financial reports for shareholders & external groups
- ✓ Prepare and analyze performance reports and interpret them for the general managers
- ✓ Integrate and approve budgets related to different programs into one
- ✓ Audit and control theft and other aspects
- ✓ Train people in the management control area

It is a support function

Accounting controls

- Accounting controls: protecting assets and ensuring that financial records and reports are reliable and complete

- Many companies establish an internal audit function

Accounting ethics

Accountants have special ethical obligations, given that they are responsible for the integrity of the financial informationprovided to internal and external parties.

STATEMENT OF ETHICAL PROFESSIONAL PRACTICE

Members of IMA shall behave ethically. A commitment to ethical professional practice includes: overarching principles that express our values, and standards that guide our conduct.

PRINCIPLES

IMA's overarching ethical principles include: Honesty, Fairness, Objectivity, and Responsibility. Members shall act in accordance with these principles and shall encourage others within their organizations to adhere to them.

STANDARDS

A member's failure to comply with the following standards may result in disciplinary action.

Accounting ethics

I. COMPETENCE

Each member has a responsibility to:

1. Maintain an appropriate level of professional expertise by continually developing knowledge and skills.
2. Perform professional duties in accordance with relevant laws, regulations, and technical standards.
3. Provide decision support information and recommendations that are accurate, clear, concise, and timely.
4. Recognize and communicate professional limitations or other constraints that would preclude responsible judgment or successful performance of an activity.

II. CONFIDENTIALITY

Each member has a responsibility to:

1. Keep information confidential except when disclosure is authorized or legally required.
2. Inform all relevant parties regarding appropriate use of confidential information. Monitor subordinates' activities to ensure compliance.
3. Refrain from using confidential information for unethical or illegal advantage.

Accounting ethics

III. INTEGRITY

Each member has a responsibility to:

1. Mitigate actual conflicts of interest, regularly communicate with business associates to avoid apparent conflicts of interest. Advise all parties of any potential conflicts.
2. Refrain from engaging in any conduct that would prejudice carrying out duties ethically.
3. Abstain from engaging in or supporting any activity that might discredit the profession.

IV. CREDIBILITY

Each member has a responsibility to:

1. Communicate information fairly and objectively.
2. Disclose all relevant information that could reasonably be expected to influence an intended user's understanding of the reports, analyses, or recommendations.
3. Disclose delays or deficiencies in information, timeliness, processing, or internal controls in conformance with organization policy and/or applicable law.

Source: IMA Statement of Ethical Professional Practice, 2016. Montvale, NJ: Institute of Management Accountants. Reprinted with permission from the Institute of Management Accountants, Montvale, NJ, www.imanet.org.

Professional ethics

- WorldCom, Enron, Arthur Andersen
- E.g. WorldCom: Telecommunications; Managers pressured controllers and accountants to hide expenses (accounted as investments); Did not account for debt; Bankruptcy in 2002; Managers in prison; Auditors (Arthur Andersen) associated to this fraud.
- E.g. divisional manager wants to consider the development of a software as an asset instead of an expense because it will generate profits. Evidence of those future profits is scarce.

Assets

An asset is a resource that is expected to provide future economic benefits (i.e. generate future cash inflows or reduce future cash outflows).

2 criteria to recognize an asset:

1. It is acquired in a past transaction or exchange, and
2. The value of its future benefits can be measured with a reasonable degree of precision.

Enron

- Large natural gas pipeline co. Was doing great until 2000: $ 100.8 billions of revenues and $979 millions in earnings.
- Filled bankruptcy in 2001
- They violated several accounting rules
- One of them was to create Special Purpose Entities and transferred debt to them which did not show on Enron's accounts

Liabilities

A liability is a claim on assets by “creditors” (non-owners) that represents an obligation to make future payments of cash, goods or services. Criteria to consider a liability:

1. The obligation is based on benefits or services received currently or in the past
2. The amount and timing of payment is reasonably certain.

Revenues

Revenues are recognized when:

1. Are earned (goods or services are provided)
2. It is realized (i.e. payment for goods or services is received in cash or something that can be converted to a known amount of cash)

Companies can get aggressive in accounting for revenues (50% of the enforcement actions of the SEC are for violation of one of these two criteria).

Expenses

Expenses are recognized when:

- Related revenues are recognized (product costs) or
- Incurred, if difficult to match with revenues (period costs and unusual events)

Conservatism principle (unusual events): recognize anticipated losses immediately (e.g. an environmental cleanup, severance to workers upon restructuring), anticipated gains only when realized

Other means of being unethical

- Accepting favors from suppliers/clients
- Not recognizing wrong doing – bad practice
- Providing contracts without following competence rules
- …
- Institute of Management Accountants

REFERENCES

Chapter 1: Horngren et al. book